

The Children's Investment Fund – Q2 2008 Report

1. Fund Performance

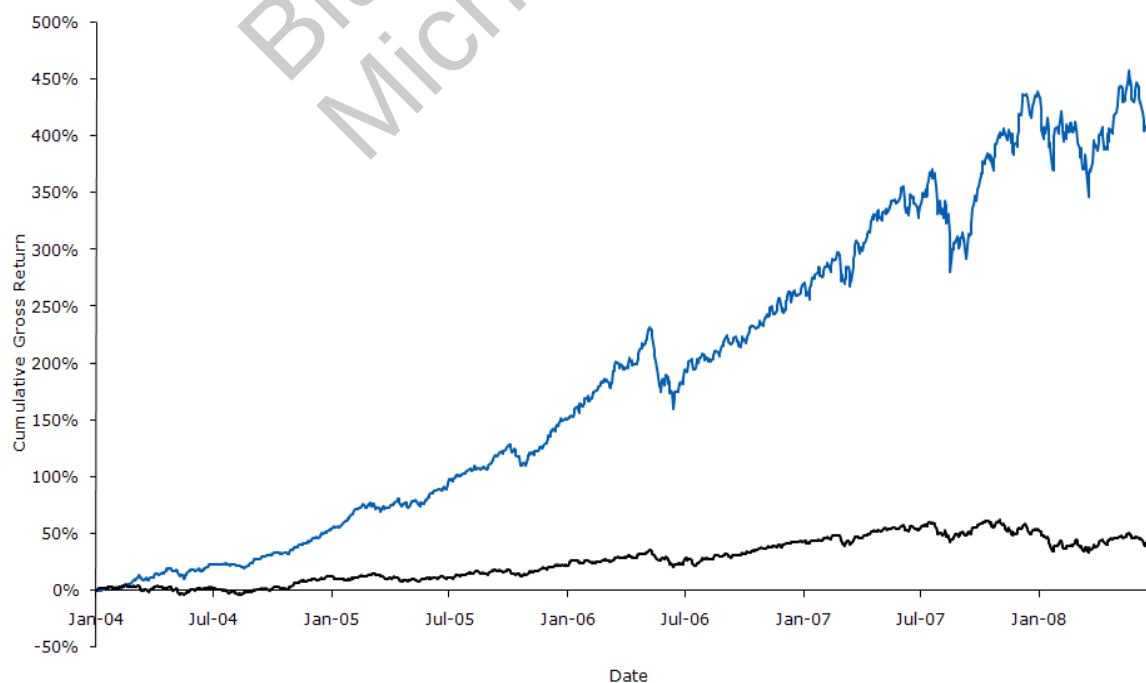
Returns for this period, net of both management and accrued incentive fees for the fund, are shown in the table below:

Period	Master Fund Assets (£m)	Class A (3yr) \$	Class A (3yr) €	Class C (5yr) \$	Class C (5yr) €	MSCI World (\$)
Jun 2008	10,922	-12.96%	-12.68%	-12.96%	-12.68%	-8.10%
May 2008	12,709	+3.30%	+3.38%	+3.30%	+3.38%	+1.11%
Apr 2008	12,073	+8.37%	+8.61%	+8.37%	+8.61%	+4.98%
Q2 2008		-2.56%	-1.96%	-2.56%	-1.96%	-2.45%
Q1 2008		-9.73%	-9.54%	-9.73%	-9.54%	-9.53%
2008		-12.04%	-11.31%	-12.04%	-11.31%	-11.74%
Annualised		+32.71%	+32.13%	n/a	n/a	+6.95%
Inception		+257.33%	+250.40%	n/a	n/a	+35.30%

Notes: January 1, 2004 inception except Class C (March 1, 2006). Fund performance is net of fees and expenses, includes dividends reinvested and is that of the Cayman feeder fund. Annualised figures refer to those since January 1, 2004 inception.

Source: Citco Fund Services (Dublin) Limited, Bloomberg LP, MSCI Barra, The Children's Investment Fund Management (UK) LLP.

The Children's Investment Master Fund vs. MSCI World (\$) Since Inception



Notes: Performance for The Children's Investment Master Fund is gross of management and incentive fees and includes dividends reinvested.

Source: Citco Fund Services (Dublin) Limited, Bloomberg LP, MSCI Barra, The Children's Investment Fund Management (UK) LLP.

In USD terms the fund ended the quarter down -2.5% and is now down -12% net of fees for the year, both in line with MSCI World.

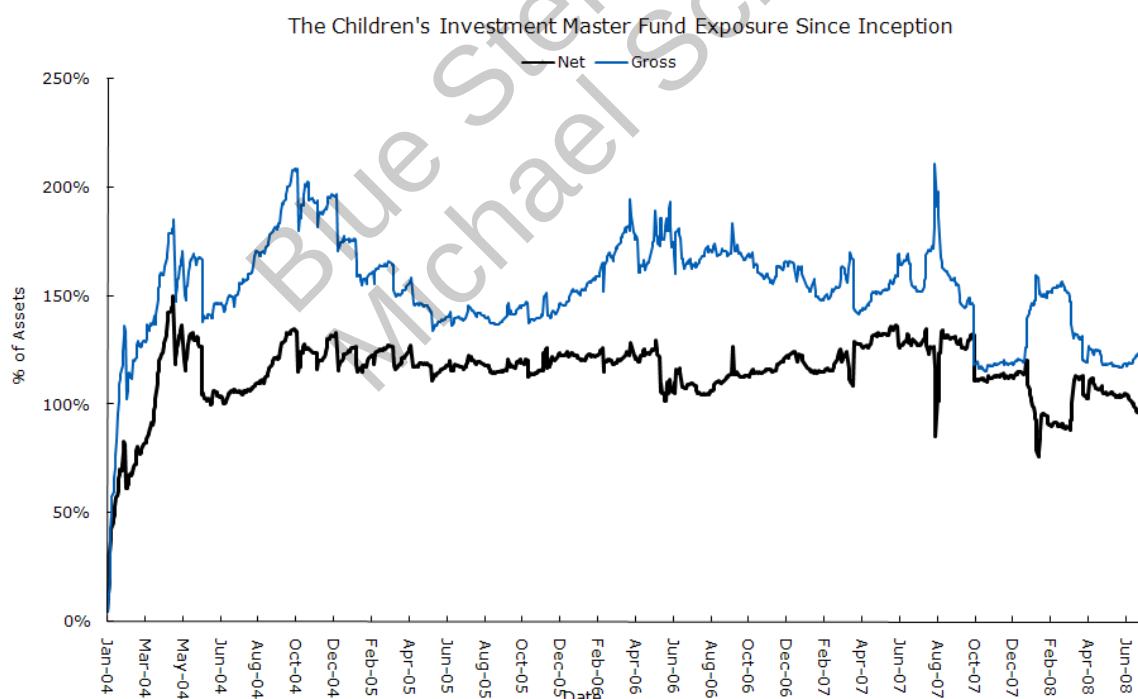
2. Key Fund Data

a. Exposure Summary

% of Master Fund Net Assets				
Period	Longs	Shorts	Gross	Net
End Jun 2008	112%	-15%	127%	97%
End May 2008	113%	-9%	122%	104%
End Apr 2008	116%	-7%	123%	109%
End Mar 2008	122%	-10%	132%	113%
End Feb 2008	123%	-34%	156%	89%
End Jan 2008	123%	-28%	151%	95%

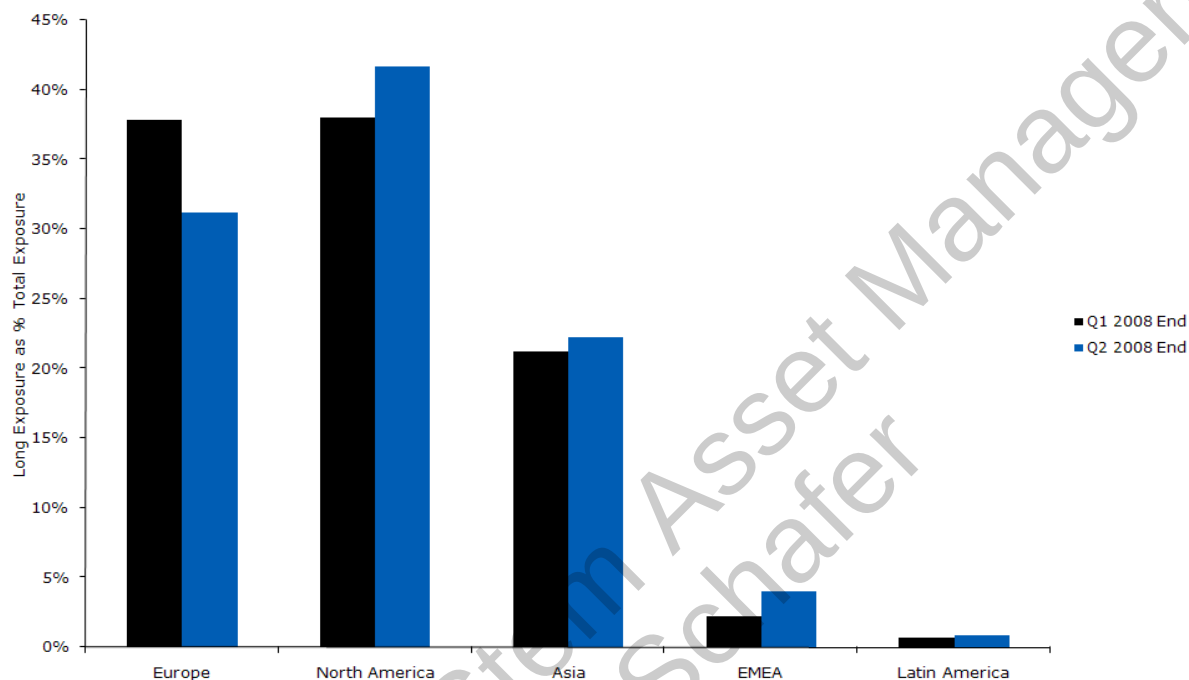
Source: Citco Fund Services (Dublin) Limited, The Children's Investment Fund Management (UK) LLP.

The fund's exposures at 10th July are 94% net and 130% gross. Of these exposures about 3% is long inflation-linked government bonds and 3% is short nominal bonds of the same issuer and maturities. We were able to effectively short inflation at 20bps through this hedge. Non-arbitrage equity longs are today approximately 105% of our NAV.



Source: Citco Fund Services (Dublin) Limited, The Children's Investment Fund Management (UK) LLP.

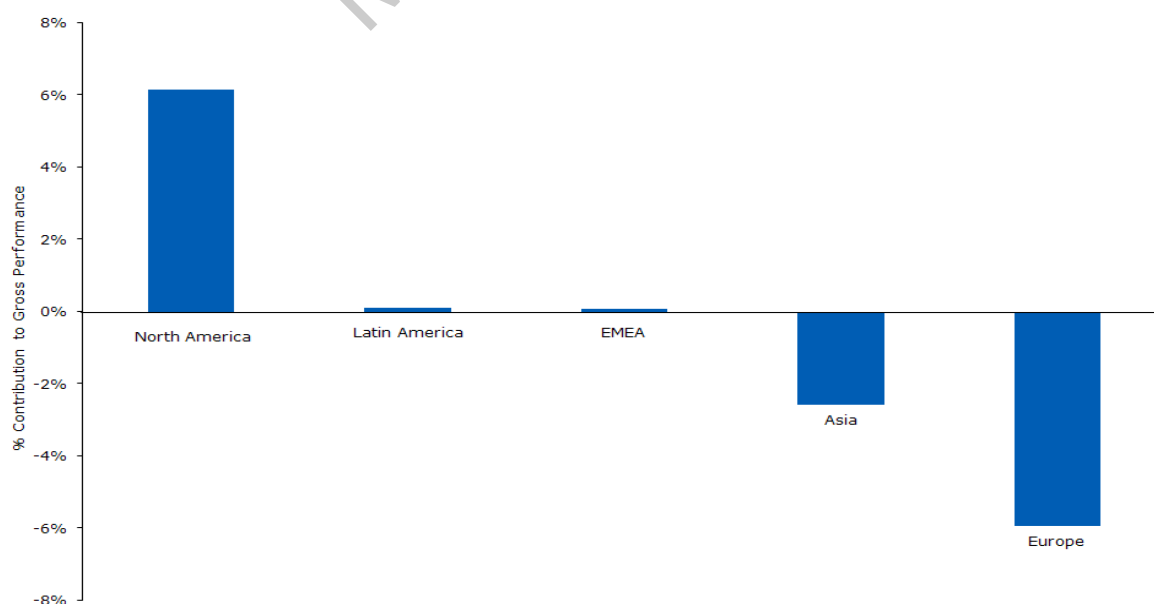
During Q2 2008 both the net and gross exposures declined.

b. Q1 2008 vs. Q2 2008 Portfolio Geographical Exposure

Notes: Figures calculated are re-based to a total of 100 and are based on the long book only. EMEA = Emerging Europe, the Middle East and Africa.

Source: Citco Fund Services (Dublin) Limited, The Children's Investment Fund Management (UK) LLP.

Over the quarter, the fund reduced its exposure to Europe and increased allocations to North America, Asia and EMEA.

c. Q2 2008 Performance Contribution by Geography

Notes: EMEA = Emerging Europe, the Middle East and Africa.

Source: Citco Fund Services (Dublin) Limited, The Children's Investment Fund Management (UK) LLP.

During Q2 2008, North America was the most significant contributor to performance with Europe and Asia being the largest detractors.

d. Q2 2008 Performance Contribution by Position

Position	% Contribution to Q2 Gross Performance
Major Contributors	
US Railways	+4.6%
Credit Card Processors	+1.6%
Major Detractors	
Deutsche Boerse	-5.4%
Indian Banks	-2.8%
Other Banks	-0.4%

Source: Citco Fund Services (Dublin) Limited, The Children's Investment Fund Management (UK) LLP.

3. Portfolio Review for Q2 2008

During Q2 we suffered major losses in our European and Indian positions offset by gains in our US book.

Deutsche Boerse

The biggest detractor was Deutsche Boerse which declined by a third during the quarter. Exchanges globally have suffered a violent derating this year as investors fear that trading activity will dry up and values of stocks traded decline. For the cash market these concerns are valid. For derivative exchanges there is no slowdown at all in Eurex in Q2, with volumes running at over 9m contracts per day on average similarly to its very strong Q1 and up over 15% year on year. Clearstream is still growing year on year we believe despite weak issuance of bonds.

It is our belief that in 2009 Deutsche Boerse will earn over 6 euros per share of free cash flow and is currently at a 9% free cash flow yield on these estimates. To us this price no growth for the whole business ever. Even if you assume only 5% long term growth this would offer 50% upside to the stock. The company has started a 400m euro share buyback at the start of July. One important growth driver we highlighted at our investor day is the clearing of OTC derivatives for investment banks. We have clear evidence from interviewing some of these banks that there is a strong desire near term to move significant clearing volumes to Eurex.

Indian Banks

Our Indian banks took a further massive fall and are down 30-50% since the start of the year. The market is concerned that inflation and higher central bank rates to tackle this will shrink net interest margins and increase non-performing loans and reduce credit growth. Our view is that these impacts will be limited and banks have raised their lending margins to maintain their spreads. Punjab National Bank's chairman publicly reiterated that they would grow earnings 20% this year. The stock trades on 5x our earnings estimate for the current year, similar to the valuation of all our Indian Bank holdings.

High oil prices, 12% inflation and political uncertainty are scaring investors out of equities in India. The equity market there is down over 30% year to date. We do not believe that growth will stop in India although it may certainly slow.

CSX

The AGM of CSX took place on June 25th. We believe, based on our preliminary estimates, that we succeeded in winning 4 board seats of the 5 which we had sought for our nominees. The company will not release official results until July 25th. The high oil price, which gets fully passed through with a short lag generally by the rail companies, increases their already high competitive price advantage versus trucks.

Mastercard and Visa

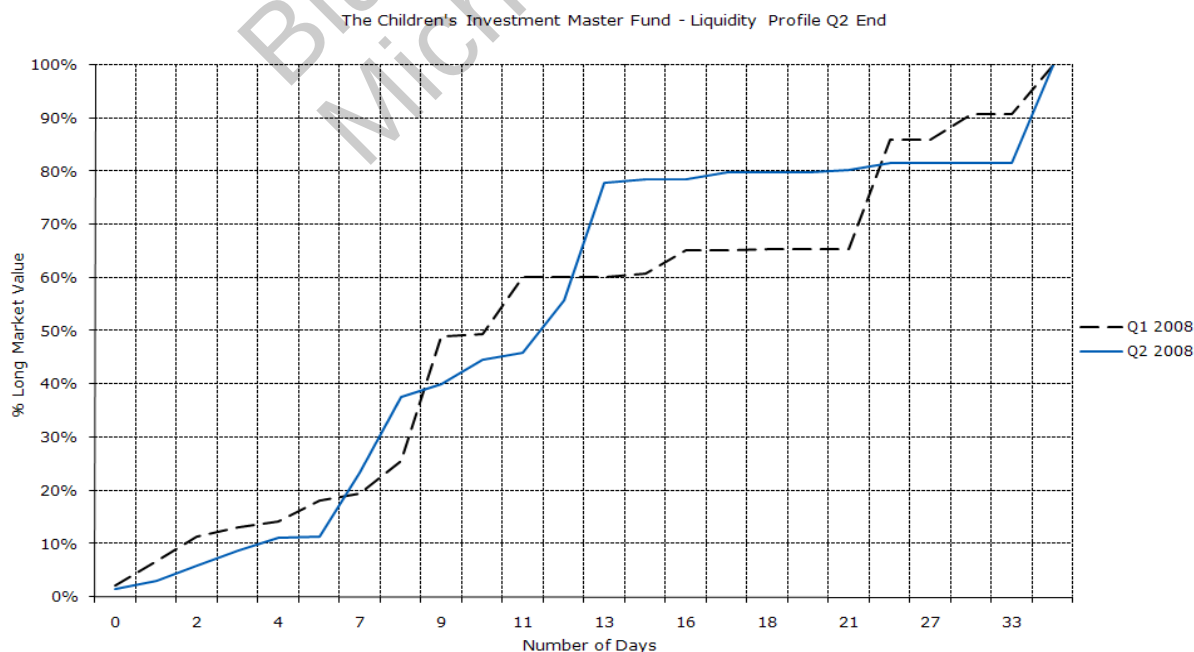
During Q2 Mastercard announced new long term guidance of EPS growth of 20-30% per annum. Our holding in Visa appreciated strongly during the quarter (doubling since the IPO price) and we chose to move some of this capital into our Mastercard holding and eliminate the rest of the position for now.

4. Outlook for 2008

The outlook for equity markets looks bleak. Economies are slowing everywhere as the high oil price, US consumer recession, weakened banks and high inflation sap consumer confidence and spending. European equity markets have now fallen around 25% this year and show no sign of stopping their fall.

We think that our companies remain strong but they will all have some economic exposure and cannot escape a major recession and continued equity market slump. We are focussed on finding shorts on consumer spending which we think will be seriously challenged by the current environment and limiting on leverage.

5. Liquidity Analysis



Notes: Liquidity is based on the average three-month trading volume data from Bloomberg assuming 100% of trading. Analysis is based upon long positions only.

Source: Citco Fund Services (Dublin) Limited, The Children's Investment Fund Management (UK) LLP.

The fund's liquidity somewhat improved over the quarter.

6. Counterparty Risk

Actions taken by TCI over Q2 2008

TCI has continued to focus on managing its counterparty risk during the recent challenges in the markets. The value of assets in custody with HSBC has increased from 51% in March to 68% at June-end and this is expected to further increase. We have also eliminated exposure to "pooled accounts" at prime brokers and currently 85% of the fund's NAV is in custody or segregated accounts. With the exception of HSBC and clearing banks, TCI believe the fund's NAV loss in all our broker dealers being bankrupt at once would be less than 5%, representing cash and swap profit at such counterparties and excluding the value of assets in segregated accounts.

7. Investor Relations

The investor days for TCI and the TCI affiliates were held during June 2008 in New York. We will be more than happy to courier materials to any investor who was unable to attend.

The dates for 2009 will be sent in the Q3 2008 newsletter.

Within the next couple of weeks, the investor relations team will be sending a questionnaire to all investors asking for feedback on the service we provide and on the investor days. Indeed, we shall also be asking for your interest in being waitlisted for possible investment in the funds.

Finally, we are pleased to announce the addition of Zoe Browning to the investor relations team. Zoe will act as the team's assistant and many of you will come to know her over time as she takes responsibility for organising meetings.

8. TCI Affiliated Investment Managers

a. Algebris

At the Alternative Investment News 6th Annual Hedge Fund Awards in New York in June, Algebris Investments won the award for Emerging Manager of 2008.

The firm currently manages \$2.5bn and is currently open to new investments as the team sees many opportunities in the financials space over the coming 3-6 months.

b. KDA Capital

KDA Capital currently manages \$1.1bn and remains closed.

c. Parvus

Parvus is selectively open to new investments. The team feel Europe has the most compelling opportunities they have seen in the last ten years and valuations are ridiculously cheap. The firm currently manages \$3bn.

For information on TCI and its affiliates please contact Rahul Moodgal at rahul@tcifund.com or on +44 20 7440 2384.

Christopher Hohn
Managing Partner
July 2008

Appendix 1 – Top Long Positions

Top Long Exposure at Quarter End – Q2 2008 Performance Contribution

Long Exposure	Country	Market Cap (\$bn)	% Contribution to Q2 2008 Gross Performance
US Railways	United States	>24	+4.6%
Deutsche Boerse	Germany	21	-5.4%
Mastercard	United States	35	+0.0%
Link REIT	Hong Kong	5	+0.3%
Total			-0.5 %

Source: Citco Fund Services (Dublin) Limited, The Children's Investment Fund Management (UK) LLP.

Appendix 2 – TCI Fund Performance Since Inception

Period	Assets (€m)	Class A (3yr) \$	Class A (3yr) €	Class B (5yr) \$	Class B (5yr) €	Class C (5yr) \$	Class C (5yr) €	MSCI World (\$)
Jan 2004	375	+1.36%	+1.44%	+1.41%	+1.49%			+1.54%
Feb 2004	532	+5.08%	+5.09%	+5.26%	+5.27%			+1.55%
Mar 2004	554	+2.75%	+2.93%	+2.78%	+2.97%			-0.89%
Q1 2004		+9.44%	+9.73%	+9.71%	+10.01%			+2.20%
Apr 2004	735	+3.70%	+3.88%	+3.77%	+3.92%			-2.22%
May 2004	872	+0.40%	+0.45%	+0.43%	+0.47%			+0.67%
Jun 2004	1,081	+2.82%	+2.86%	+2.90%	+2.93%			+1.91%
Q2 2004		+7.05%	+7.33%	+7.23%	+7.47%			+0.32%
Jul 2004	1,088	-0.24%	-0.20%	-0.24%	-0.20%			-3.34%
Aug 2004	1,114	+0.85%	+0.94%	+0.88%	+0.97%			+0.26%
Sep 2004	1,173	+4.86%	+4.90%	+5.00%	+5.05%			+1.77%
Q3 2004		+5.50%	+5.67%	+5.67%	+5.86%			-1.38%
Oct 2004	1,187	+2.35%	+2.34%	+2.41%	+2.41%			+2.37%
Nov 2004	1,435	+4.93%	+5.09%	+5.31%	+5.24%			+5.09%
Dec 2004	1,589	+6.94%	+6.86%	+7.13%	+7.05%			+3.73%
Q4 2004		+14.85%	+14.93%	+15.54%	+15.37%			+11.59%
2004		+41.95%	+43.04%	+43.65%	+44.39%			+12.84%
Jan 2005	1,960	+6.45%	+6.51%	+6.68%	+6.75%			-2.31%
Feb 2005	2,265	+3.80%	+3.83%	+3.90%	+3.99%			+3.01%
Mar 2005	2,275	-1.07%	-1.04%	-1.07%	-1.09%			-2.17%
Q1 2005		+9.32%	+9.44%	+9.65%	+9.80%			-1.55%
Apr 2005	2,502	-0.02%	-0.05%	-0.02%	-0.05%			-2.39%
May 2005	2,856	+3.46%	+3.46%	+3.59%	+3.59%			+1.52%
Jun 2005	3,271	+6.15%	+6.15%	+6.35%	+6.34%			+0.71%
Q2 2005		+9.80%	+9.77%	+10.14%	+10.10%			-0.21%
Jul 2005	3,624	+4.47%	+4.41%	+4.61%	+4.54%			+3.43%
Aug 2005	3,754	+2.03%	+1.88%	+2.08%	+1.94%			+0.56%
Sep 2005	4,055	+7.11%	+7.03%	+7.31%	+7.23%			+2.47%
Q3 2005		+14.17%	+13.86%	+14.59%	+14.27%			+6.57%
Oct 2005	4,050	-3.68%	-3.80%	-3.77%	-3.90%			-2.49%
Nov 2005	4,605	+5.06%	+5.06%	+5.20%	+5.19%			+3.14%
Dec 2005	5,421	+7.92%	+7.72%	+8.12%	+7.91%			+2.14%
Q4 2005		+9.21%	+8.86%	+9.45%	+9.08%			+2.73%
2005		+49.66%	+48.90%	+51.48%	+50.68%			+7.56%
Jan 2006	5,782	+6.38%	+6.10%	+6.61%	+6.32%			+4.41%
Feb 2006	6,012	+3.97%	+4.15%	+4.12%	+4.05%			-0.29%
Mar 2006	6,809	+3.72%	+3.27%	+3.84%	+3.63%	+3.65%	+3.44%	+1.96%
Q1 2006		+14.71%	+14.11%	+15.26%	+14.64%	+3.65%	+3.44%	+6.14%
Apr 2006	7,183	+5.91%	+5.64%	+6.10%	+5.82%	+5.80%	+5.54%	+2.87%
May 2006	6,225	-9.18%	-9.11%	-9.64%	-9.39%	-9.56%	-9.57%	-3.72%
Jun 2006	6,767	+3.38%	+3.27%	+3.71%	+3.39%	+3.96%	+3.93%	-0.18%
Q2 2006		-0.56%	-0.84%	-0.57%	-0.87%	-0.53%	-0.81%	-1.13%
Jul 2006	7,495	+3.75%	+3.61%	+3.87%	+3.72%	+3.68%	+3.54%	+0.55%
Aug 2006	7,828	+3.71%	+3.50%	+3.83%	+3.60%	+3.37%	+3.43%	+2.38%
Sep 2006	7,843	+0.03%	-0.12%	+0.03%	-0.12%	+0.00%	-0.12%	+1.07%
Q3 2006		+7.63%	+7.11%	+7.88%	+7.32%	+7.17%	+6.96%	+4.05%
Oct 2006	8,307	+4.01%	+3.88%	+4.13%	+3.99%	+3.72%	+3.29%	+3.61%
Nov 2006	8,615	+3.04%	+2.93%	+3.13%	+3.01%	+2.99%	+2.88%	+2.27%
Dec 2006	8,945	+5.63%	+5.53%	+5.78%	+5.69%	+5.54%	+5.44%	+1.95%
Q4 2006		+13.21%	+12.84%	+13.60%	+13.22%	+12.74%	+12.05%	+8.02%
2006		+38.99%	+36.76%	+40.45%	+38.08%	+24.57%	+22.97%	+17.95%
Jan 2007	9,460	+2.05%	+1.99%	+2.12%	+2.05%	+2.05%	+1.99%	+1.12%
Feb 2007	9,474	-1.25%	-1.27%	-1.29%	-1.31%	-1.25%	-1.27%	-0.65%
Mar 2007	10,145	+6.78%	+6.63%	+7.02%	+6.86%	+6.78%	+6.63%	+1.59%
Q1 2007		+7.61%	+7.37%	+7.88%	+7.62%	+7.61%	+7.37%	+2.06%
Apr 2007	10,762	+4.99%	+4.81%	+5.17%	+4.98%	+4.99%	+4.81%	+4.21%
May 2007	11,151	+4.38%	+4.30%	+4.52%	+4.46%	+4.38%	+4.30%	+2.47%
Jun 2007	10,971	-2.34%	-2.43%	-2.41%	-2.51%	-2.34%	-2.43%	-0.90%
Q2 2007		+7.02%	+6.67%	+7.27%	+6.91%	+7.02%	+6.67%	+5.82%
Jul 2007	11,056	+0.98%	+0.86%	+1.02%	+0.89%	+0.98%	+0.86%	-2.28%
Aug 2007	10,123	-5.97%	-6.14%	-6.16%	-6.35%	-5.97%	-6.14%	-0.27%
Sep 2007	11,308	+9.24%	+8.85%	+9.56%	+9.16%	+9.24%	+8.85%	+4.61%
Q3 2007		+3.73%	+3.04%	+3.86%	+3.13%	+3.73%	+3.04%	+1.95%

Private and Confidential

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Oct 2007	12,048	+8.13%	+8.03%	+8.37%	+8.31%	+8.13%	+8.03%	+2.99%
Nov 2007	12,263	+3.62%	+3.55%	+3.72%	+3.67%	+3.62%	+3.55%	-4.24%
Dec 2007	12,643	+2.79%	+2.76%	+2.86%	+2.86%	+2.79%	+2.76%	-1.37%
Q4 2007		+15.17%	+14.95%	+15.62%	+15.50%	+15.17%	+14.95%	-2.74%
2007		+37.59%	+35.66%	+38.97%	+37.04%	+37.59%	+35.66%	+7.09%
Jan 2008	11,239	-6.24%	-6.38%	-6.24%	-6.60%	-6.24%	-6.38%	-7.71%
Feb 2008	10,714	-2.70%	-2.56%	-2.70%	-2.65%	-2.70%	-2.56%	-0.74%
Mar 2008	10,187	-1.05%	-0.83%	-1.05%	-0.86%	-1.05%	-0.83%	-1.25%
Q1 2008		-9.73%	-9.54%	-9.73%	-9.86%	-9.73%	-9.54%	-9.53%
Apr 2008	12,073	+8.37%	+8.61%	+8.37%	+8.91%	+8.37%	+8.61%	+4.98%
May 008	12,709	+3.30%	+3.38%	+3.30%	+3.50%	+3.30%	+3.38%	+1.11%
Jun 2008	10,922	-12.96%	-12.68%	-12.96%	-13.12%	-12.96%	-12.68%	-8.10%
Q2 2008		-2.56%	-1.96%	-2.56%	-2.07%	-2.56%	-1.96%	-2.45%
2008		-12.04%	-11.31%	-12.04%	-11.73%	-12.04%	-11.31%	-11.74%
Annualised		+32.71%	+32.13%	+34.03%	+33.22%	n/a	n/a	+6.95%
Inception		+257.33%	+250.40%	+273.55%	+263.52%	n/a	n/a	+35.30%

Notes: January 1, 2004 inception except Class C (March 1, 2006). Fund performance is net of fees and expenses, includes dividends reinvested and is that of the Cayman feeder fund. Annualised figures refer to those since January 1, 2004 inception.

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